

Current Ratio

The current ratio is the most commonly used ratio to measure liquidity. Its purpose is to check whether a company's current assets are enough to meet its immediate liabilities, i.e. those that mature within one year. The ratio is arrived at by dividing current assets by current liabilities:

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

Illustration

At 31 March, Spear Canisters Ltd's current assets were Rs. 400 crore whereas its current liabilities were Rs. 125 crore. Its current ratio is, therefore, 16:5 or 3.2. In short, Spear Canisters Ltd. can easily meet its current liabilities. It can do so by selling a mere 31.25% of its current assets.

Normally, the current ratio is around 1 or even a little below 1. This in itself is not bad. Today, all companies are aware of the cost of capital, the opportunity cost of tying up capital unproductively, and just in time (JIT) inventory control. Consequently, there is an effort to keep current assets low, be it stock levels, debtors or cash. Thus, often the current ratio is well below 1. This does not necessarily mean that the company is illiquid, it could merely be using its assets effectively.